

Before you plan your Tax

Know your income...

Salary: all income received from an employer

Income from business/profession: profit from business or consultancy

Rental income: income from letting out a property

Capital gains: profit earned from sale of an asset (property, jewellery, shares, car, etc)

Income from other sources: any other income, including interest, dividends, pension, gifts, etc

... and tax saving options under Section 80C

Contributions to Employees' Provident Fund and Public Provident Fund

Investments in national savings certificates, bank fixed deposits of over five years

Life insurance policies, including Ulips

ELSS mutual funds, pension plans

Children's school fees

Repayment of home loan

Senior Citizen's Savings Scheme and Post Office term deposits of over five years

For men earning Rs 40,000 a month, the effective tax will come down from 13.5% of their income to about 6.7%. Those earning Rs 12 lakh a year will save almost Rs 50,000 in tax, which is 4% of their annual income.

If you are a Male taxpayer

Plan your taxes well and you could save up to Rs 4,000 a month. Even if you aren't a great planner, you can still save Rs 4,000 a year, thanks to the new tax exemption limits. If you earn Rs 8 lakh a year, you will save Rs 14,400 more in taxes in 2008-9 over 2007-8 even without making a single tax-saving investment. So, tax on Rs 8 lakh annual income would be:

- ✓ Rs 1,49,350 without tax planning
- ✓ Rs 1,18,450 with full 80C benefits
- ✓ Rs 1,09,180 by adding health insurance benefits
- ✓ Rs 62,830 by adding home loan
- ✓ Tax liability is down 58% by maximising tax saving investments

The two tables show how much you can save, at different income levels

Know your tax liability & savings Depending on investments

ANNUAL INCOME IN RS	TAX LIABILITY			SAVINGS	
	EXISTING	NEW		IN RS	% OF ANNUAL INCOME
	Full 80C benefits	No 80C benefits	Full 80C benefits		
A	B	C	D	E = (B-D)	F = (E/A)
2,50,000	4,120	10,300	0	4,120	1.6%
3,60,000	27,180	27,810	11,330	16,480	4.6%
4,80,000	64,890	52,530	31,930	32,960	6.9%
6,00,000	1,01,970	87,550	56,650	45,320	7.6%
7,20,000	1,39,050	1,24,630	93,730	45,320	6.3%
8,40,000	1,76,130	1,61,710	1,30,810	45,320	5.4%
12,00,000	3,16,107	3,00,250	2,66,260	49,847	4.2%

Difference between column B and D shows how much better off you are compared to last year. Difference between C and D shows how much you can save in taxes by investing under Sec 80C.

Here's how you save on tax

GROSS INCOME	RS 8 LAKH A YEAR		WHAT'S CHANGED
	EXISTING (2007-8)	PROPOSED (2008-9)	
Tax-free exemption	-1,10,000	-1,50,000	40,000 more
Savings u/s 80C	-1,00,000	-1,00,000	No change
Taxable income	5,90,000	5,50,000	40,000 lower
Medical insurance	-15,000	-30,000	15,000 more
Net taxable income	5,75,000	5,20,000	55,000 lower
Tax payable	1,54,000	1,06,000	48,000 saved
Education cess	4,635	3,180	1,455 saved
Total tax outgo	1,59,135	1,09,180	49,955 saved
Effective tax rate*	19.9%	13.7%	6.2% lower

* % of gross income

